

CHANNEL CHECK

SECTOR UPDATE

Muted demand; prices steady

Cement demand remained sluggish in May-26 due to labour shortages and unfavourable weather conditions in most regions. However, the western region reported an improvement in demand. In May-26, price hikes, which were anticipated earlier, were not implemented in most regions on account of weak demand; however, the hikes taken earlier in Apr-26 have sustained. Rising petcoke and packaging costs remain key cost headwinds.

Geopolitical issues (which can affect sentiments and hence housing demand going ahead), trajectory of infra capex and rising costs (which can impact margins adversely) are likely to determine stock prices in the near term. JK Cement (BUY) remains our top pick.

Takeaways by region

Eastern region: Demand remained mixed in May-26 with West Bengal continuing to report sluggish demand due to the impact of state elections while Bihar posted a slight recovery in demand. However, Bihar faced supply constraints due to raw material shortages and unseasonal rainfall. Prices in West Bengal remained largely stable during May after the hikes implemented in Apr-26, whereas Bihar reported prices increasing by ~INR5–10/bag in May-26, supported by improved demand and constrained supply conditions.

Southern region: The region reported sluggish demand in May-26, primarily due to labour shortage led by state elections and unseasonal rains. Following the price hikes in Apr-26, prices have largely remained stable across the region. In May-26, dealers were earlier expecting price hikes of ~INR10/bag in the non-trade segment, which were not implemented in the markets.

Northern region: Demand remained muted in the region in May-26 due to labour shortages. Channel checks indicated that prices hikes taken in Apr-26 have sustained and prices have remained broadly stable in May-26. Dealers are expecting a price hike of ~INR10/bag in Jun-26.

Central region: Demand improved slightly during May-26. Prices in the region were broadly stable during the month with dealers anticipating prices to be hiked by ~INR10/bag in early-Jun'26.

Western region: The region reported some improvement in demand in May-26. Price hikes of INR5–10/bag, which were anticipated in May-26, were not implemented. Dealers are expecting price hikes in Jun-26.

Petcoke prices have decreased slightly from the recent peak to USD151/t (up ~USD25/t QoQ) due to global cues with their impact likely to be reflected starting late-Q1FY27/Q2FY27. Geopolitical volatility poses near-term risks to cement demand and profitability. In this context, the trajectory of costs, future price hikes as well as housing/infra spends become key monitorables.

All price charts cannot be included given the large of number of companies in our coverage. Specific charts may be available upon request.

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